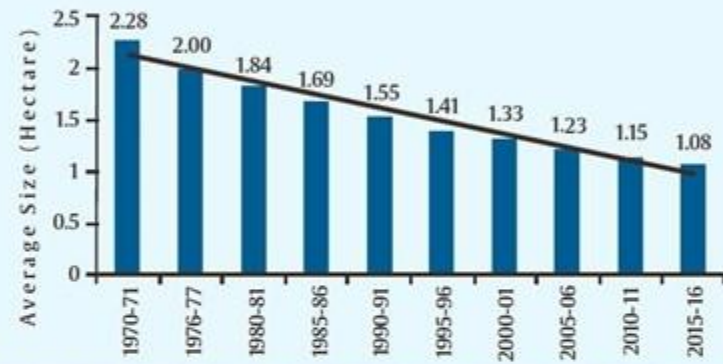


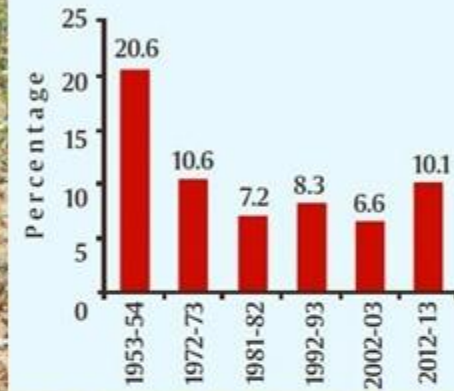
INDIAN ECONOMY

LEVEL
II

FIGURE 1: AVERAGE SIZE OF OPERATIONAL HOLDINGS AS PER DIFFERENT AGRICULTURE CENSUS



PROPORTION OF LEASED AREA



LECTURES

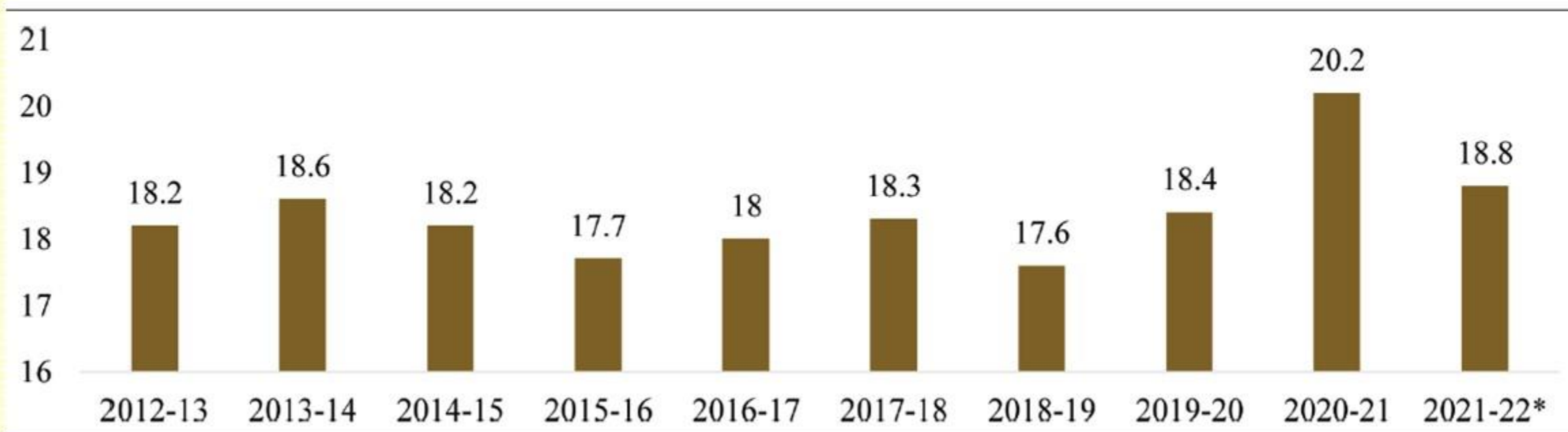
AN OVERVIEW OF THE AGRICULTURE
AND ALLIED SECTORS IN INDIA - PART I

MODULE - 51



LOOK AT THE PERCENTAGE SHARE OF GVA OF AGRICULTURE AND ALLIED SECTORS

Figure 3: Percentage Share of GVA of Agriculture & Allied Sector to Total GVA (at current prices)



Source: Based on data of DAFW.

*As per 1st Advance Estimates of National Income, 2021-22.

DETAILS ABOUT AGRICULTURE AND ALLIED SECTORS



CROPS SECTOR



LIVESTOCK SECTOR

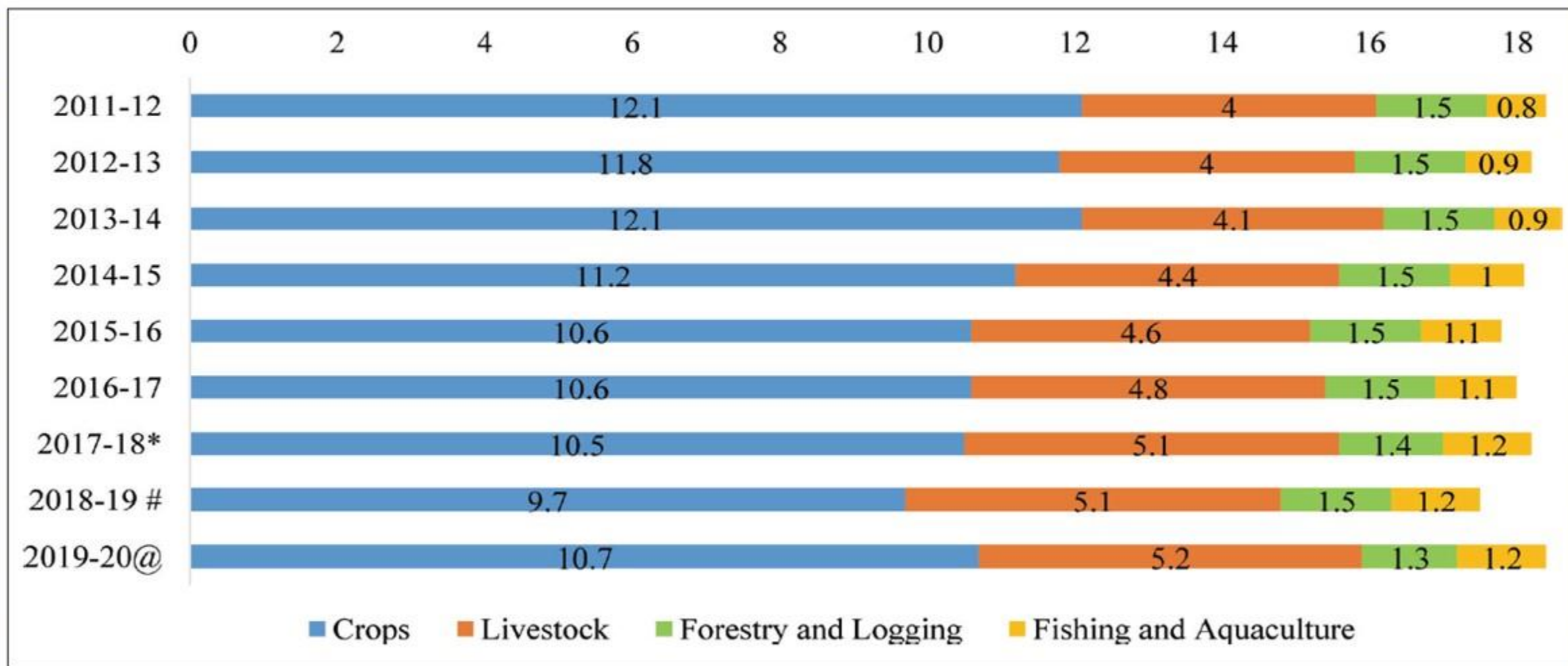
- **Crops sector:**
 - ✓ Around **10%** of GDP.
 - ✓ Its share as percentage of total agri-GDP is **decreasing** slightly.
- **Livestock sector:**
 - ✓ Around **5%** of GDP.
 - ✓ Its share in overall agri-GDP is **increasing** slightly.
- **Forestry and logging:**
 - ✓ Around **1%** of GDP.
 - ✓ Its share in overall agri-GDP is **decreasing** slightly.
- **Fishing:**
 - ✓ Around **1%** of GDP.
 - ✓ Its share in overall agri-GDP is **increasing** slightly.

Less than 10% of the overall institutional credit of the agriculture sector goes to the allied sector, whereas their share is around 35%-40% in the overall agriculture.



PERCENTAGE SHARE OF THE CROPS SECTOR IS ON DECLINING TREND!

**Figure 4: Percentage Share of GVA of Crop & Allied Sectors
in Total Agriculture GVA (at current prices)**



Source: Based on data of DAFW.



SEE THE SHARE OF AGRICULTURE IN VARIOUS DEVELOPED COUNTRIES!

SHARE OF AGRICULTURE IN GDP

- 2% in South Korea
- 1.6% in Taiwan
- 1.5% in France
- 1% in Japan
- 1% in USA
- 0.5% in UK



SHARE OF AGRICULTURE IN EMPLOYMENT

- 5% in South Korea and Taiwan
- 3.5% in Japan
- 3% in France
- 2% in USA
- 1% in UK





NABARD

NATIONAL BANK FOR
AGRICULTURE AND
RURAL DEVELOPMENT

***NABARD was
established
in 1982.***

ORGANISATIONS OF 1960s



National Seeds Corporation Limited



SWIFT DEVELOPMENTS PERTAINING TO AGRICULTURE SECTOR IN 1960s!

- 1963 ... Agriculture Refinance Development Corporation (ARDC).
- 1963 ... National Seeds Corporation.
- 1964-65 ... Integrated Cattle Development Programme.
- 1965 ... Food Corporation of India (FCI).
- 1965 ... Commission for Agricultural Costs and Prices (CACP).
- 1966 ... Green Revolution was started in Kharif season
- 1968 ... National Textile Corporation.

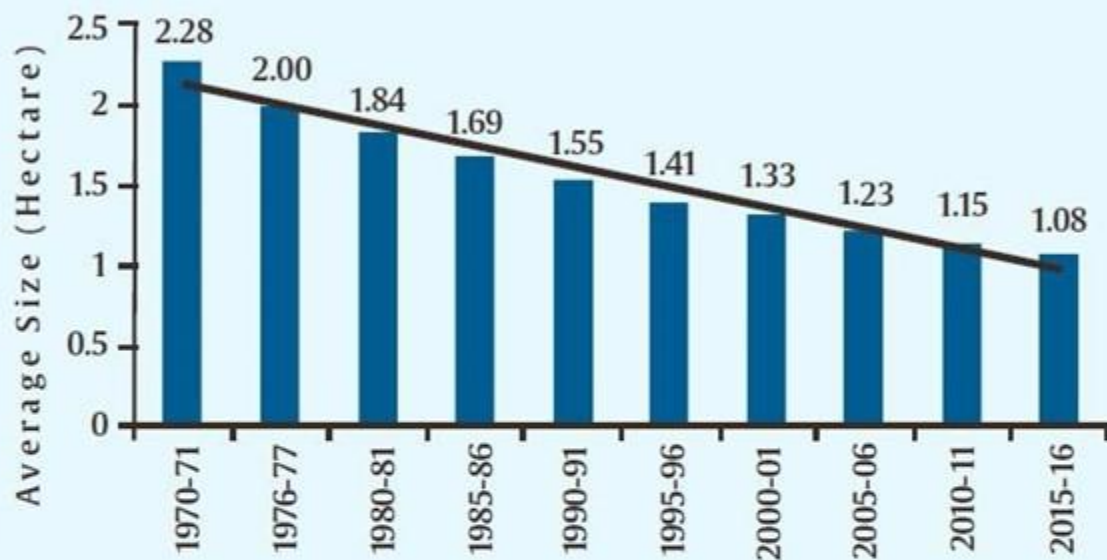


Learning Space



CONSISTENT REDUCTION IN THE SIZE OF OPERATIONAL HOLDINGS!

FIGURE 1: AVERAGE SIZE OF OPERATIONAL HOLDINGS AS PER DIFFERENT AGRICULTURE CENSUS



AGRICULTURE CENSUS

These are conducted by the Department of Agriculture, Cooperation and Farmers Welfare, once in five years to know about structural characteristics, which include agriculture land holdings.

TOTAL OPERATIONAL HOLDINGS ARE 146 MILLION!

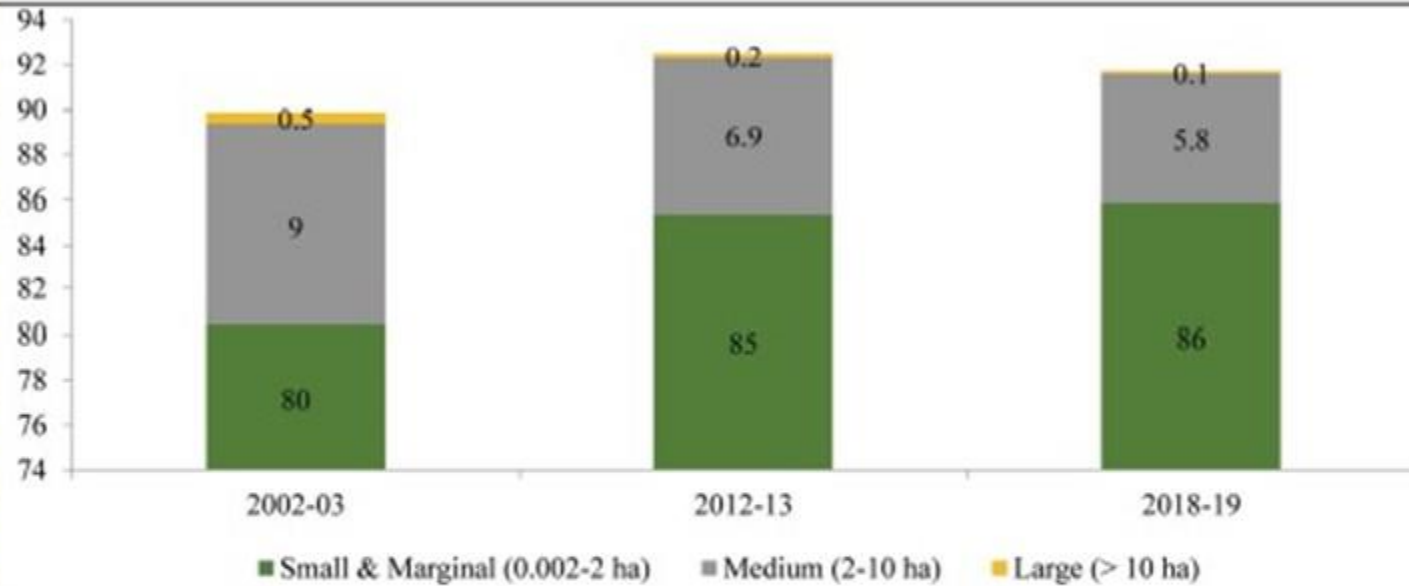
- The Agriculture Ministry's latest available census for 2015-16 pegged the total operational holdings at around 146 million.
- It also puts the total area under cultivation at 157 million hectares.
- From this, we derive the figure of average holding size of 1.08 hectares.
- However, NABARD All India Rural Financial Inclusion Survey of the same year estimated agricultural households at 100.7 million.

Hence, we can conclude that India's official farmer households are anywhere between 100 million and 150 million!



SMALL AND MARGINAL FARMERS ARE NOW 86%!

Figure 18: Distribution of Households by Size Category of Ownership Holdings (per cent)



HAS THE SMALL LAND HOLDINGS AFFECTED PRODUCTIVITY? ... NO CONCLUSIVE EVIDENCE!

There is no conclusive evidence that fragmentation of land holdings resulted in adverse impact on agriculture productivity.



THE DEFINITION OF AN AGRICULTURAL HOUSEHOLD HAS NOT BEEN REVISED FOR DECADES!

- As per NABARD, agricultural household covers any household whose value of produce from farming activities is more than Rs. 5,000 during a year. This obviously is too little to qualify as living income.
- A real farmer is someone, who would derive a significant part of his/her income from agriculture.



TWO CROPS ARE CULTIVATED IN 50 MILLION HECTARES!

- Number of holdings - 146 million
- Total area - 156 million hectares
- Actually cultivated - 140 million hectares.
- The area which got cultivated two times or more - 50 million hectares (40 million hectares of irrigated and 10 million hectares of unirrigated land).



PROPORTION OF LEASED AREA



RESTRICTIVE TENANCY LAWS ARE ADVERSELY IMPACTING PRODUCTIVITY!

- Restrictive Tenancy Laws resulted in Oral Tenancy / Informal Tenancy, which is said to be much higher than Formal Tenancy. This is adversely impacting land-use efficiency.
- As per 2012-13 official records, only about 10% of agricultural land is under tenancy. It is down from 20% in 1953-54, but the experts believe that the official estimates are hugely under-reported and highly inaccurate..



EVEN SOME OF THE LAND OWNERS ARE LEAVING THE LAND FALLOW!



FALLOW LAND

A piece of land that is normally used for farming, but that is left with no crops on it for a season or two in order to let it recover its fertility.

- Landowners fear losing their proprietary rights, if they lease out for longer periods. As a result, at least some of them prefer to keep their lands fallow.
- Rough estimates suggest that about 17 million hectares of cultivable land in the Country is lying fallow!

WHAT ARE THE PROBLEMS, WHEN THE TENANCY IS ORAL / INFORMAL?



LAND LEASE POLICY OF CHINA

China has revised its land lease laws a few years ago. Farmers can lease out their land, even to corporate entities for cultivation for up to 30 years.

- It leads to insecurity. The tenants do not have legal sanction and are not recognised as farmers.
- This deprives them of institutional credit, crop insurance, Government-sponsored social benefit schemes and relief support.
- The fear of eviction also disincentivises them from making long-term investments in land improvement. This results in low capital formation. It ultimately hurts farm productivity.

RIGHTS TO TENANTS, IN ONE WAY OR THE OTHER, ARE INSTITUTIONALISED BY SOME STATES!

ANDHRA PRADESH

- Andhra Pradesh's Land Licensed Cultivators Act has provided suitable channels to
 - ✓ Deliver loans
 - ✓ Subsidies
 - ✓ Crop Insurance and
 - ✓ Relief support.
- It does so by issuing eligibility cards to tenants, who raise crops with the explicit or implied permission of the owners.



KERALA

- In Kerala, women are motivated to become members of the Joint Liability Groups.
- Then they cultivate leased land with assured access to agricultural credit from NABARD and other banking institutions. It increased their returns from farming.

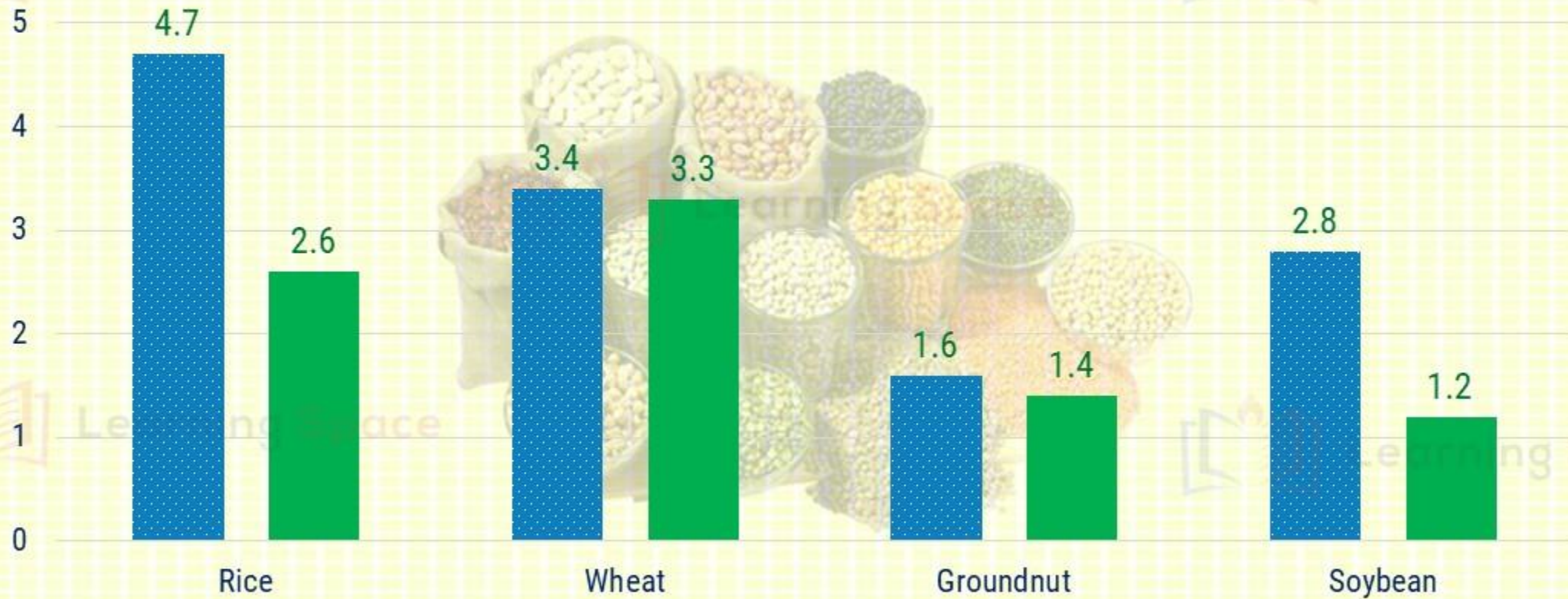


PRODUCTIVITY OF MOST OF THE KHARIF CROPS COMPARES POORLY WITH WORLD AVERAGES!

PRODUCTIVITY COMPARISONS FOR MAJOR CROPS (2018 figures, in kg/ha)

KHARIF CROPS	CROP	WORLD'S HIGHEST	WORLD AVG	INDIA	INDIA'S HIGHEST
	Rice	7,027 (China)	4,679	2,638	4,132 (Punjab)
	Maize	11,864 (US)	5,924	3,070	7,258 (TN)
	Total pulses	1,950 (Canada)	964	757	916 (MP)
	Tur	1,743 (Malawi)	852	729	1,209 (Gujarat)
	Soybean	3,468 (US)	2,791	1,192	1,254 (Rajasthan)
	Groundnut	4,473 (US)	1,611	1,422	2,718 (TN)
RABI CROPS	Wheat	6,863 (France)	3,425	3,371	5,188 (Punjab)
	Barley	6,333 (France)	2,951	2,693	3,597 (Rajasthan)
	Gram	2,138 (Ethiopia)	965	956	1,288 (MP)
	Lentil	1,395 (Canada)	1,038	731	1,026 (UP)
	Safflower	2,197 (Mexico)	903	536	617 (Karnataka)

PRODUCTIVITY GAP OF SOME OF THE CROPS IN TONNES PER HECTARE



GLOBAL INDIA

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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